there again appeared a considerable number of such “sub-working-capital” issues, and despite the strong recovery of the market, enough of them remained at the end of the year to make up a full-sized portfolio.

The enterprising investor under today’s conditions still has various possibilities of achieving better than average results. The huge list of marketable securities must include a fair number that can be identified as undervalued by logical and reasonably dependable standards. These should yield more satisfactory results on the average than will the DJIA or any similarly representative list. In our view the search for these would not be worth the investor’s effort unless he could hope to add, say, 5% before taxes to the average annual return from the stock portion of his portfolio. We shall try to develop one or more such approaches to stock selection for use by the active investor.